

GOVERNMENT OF INDIA
MINISTRY OF CIVIL AVIATION
RAJYA SABHA
QUESTION NO 14.07.1998

ANSWERED ON
REDUCTION IN SALES TAX ON AVIATION TURBINE FUEL .

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SHRI JANARDHANA POOJARY

Will the Minister of CIVIL AVIATION be pleased to state :-

(a) whether his Ministry has requested State Government to reduce sales tax on Aviation Turbine Fuel (ATF) as a measure to reduce financial burden on domestic airlines; and

(b) if so, the outcome thereof?

ANSWER

MINISTER OF CIVIL AVIATION (SHRI ANANTH KUMAR)

(a) Yes, Sir.

(b) Reply has been received from 8 State Government and one Union Territory Administration. While Nagaland Government has no objection to abolish sales tax on ATF, Maharashtra Government has exempted all the domestic airlines from payments of sales tax on ATF for operating to places other than Mumbai, Pune, Nagpur, and Aurangabad in state for the period 1.6.1996 to 31.5.2001 and Span Aviation (M) pvt. Ltd. for operating to any place in the State other than Mumbai for the period 1.4.1997 to 31.3.2002. The other six State Government/UT admn. have not agreed to abolish sales tax on ATF. Reply from the remaining State Government/ UT Admn. has not been received so far.